

CONFIDENTIAL — INTERNAL CREDIT PAPER

FINAL CREDIT ASSESSMENT & LENDING DECISION

DANGOTE CEMENT PLC

Enterprise Credit Risk Assessment — FY2022–FY2025 (Group Basis)

Prepared for Credit Committee Consideration

Project Owner: Chegwe Favour

Basis of Assessment: Publicly available audited annual reports (FY2022–FY2025) and validated internal credit-analysis dataset

This paper does not constitute a facility offer. It supports a preliminary credit view pending facility-specific due diligence.

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1. Executive Credit Summary

Dangote Cement Plc (“the Company” or “the Group”) is Nigeria’s largest cement producer and a leading regional building-materials franchise, operating across Nigeria and multiple African markets. The Company is majority owned by Dangote Industries Limited (“DIL”), which held approximately 86.65% of issued share capital at FY2025 year-end, with Aliko Dangote as ultimate controlling party.

This paper assesses the Group’s creditworthiness over FY2022–FY2025 to inform a preliminary lending view. FY2025 represents the current credit position; FY2022–FY2024 provide the trend and context against which that position is judged.

Overall Credit Assessment

POSITIVE / STRONG CREDIT PROFILE, SUBJECT TO STRUCTURE AND MONITORING

Preliminary Lending Recommendation

LEND — subject to facility-specific due diligence, appropriate structuring, risk appetite/limit approval and ongoing monitoring.

The Group’s FY2025 position reflects a marked improvement over FY2024: revenue and EBITDA both expanded, operating cash generation strengthened materially, and gross borrowings were reduced from approximately ₦2.512tn to ₦1.080tn. Interest coverage recovered from a low of 1.65x in FY2024 to 5.10x in FY2025, and leverage (Debt/EBITDA) fell from approximately 1.82x to 0.55x over the same period. These improvements support a constructive credit view. At the same time, a sub-1x current ratio, material USD-denominated exposure, a growing quantum of contingent liabilities, and continued reliance on related-party funding and support are relevant risks that warrant deliberate facility structuring and active monitoring rather than an unconditional approval.

FY2025 Key Credit Metrics (Group)

Metric	FY2025	FY2024 (comparator)
Revenue	₦4,306.7bn	₦3,580.6bn
EBITDA	₦1,981.3bn	₦1,382.0bn
EBITDA Margin	~46%	Lower (compressed)
Operating Profit	₦1,765.3bn	₦1,152.0bn
Operating Cash Flow	₦1,710.8bn	₦821.1bn
Cash After Capex	~₦849.7bn	n/a
Total Borrowings	₦1,080.5bn	₦2,511.8bn
Debt/EBITDA	0.55x	~1.82x
Net Debt	~₦682.9bn	n/a
Net Debt/EBITDA	~0.34x	n/a
Interest Expense	₦346.2bn	₦700.3bn
Interest Coverage	5.10x	1.65x
Current Ratio	0.76x	n/a
Cash & Equivalents	₦397.6bn	n/a
USD Liabilities	₦516.1bn	₦1,954.7bn
Group Contingent Liabilities	₦457.4bn	₦308.2bn

All figures are Group (consolidated) basis unless stated otherwise, drawn from audited annual reports and the validated internal credit-analysis dataset. Ratios are as approved through the completed analytical phase; none has been recalculated for this paper.

2. Borrower Overview

Dangote Cement Plc is a Nigerian public company, listed on the Nigerian Exchange (NGX), engaged in the manufacture, distribution and sale of cement and related building materials. The Group operates production facilities in Nigeria and a number of other African markets, giving it both scale and geographic diversification relative to single-market regional peers.

The Company sits within the Dangote Industries Limited group structure. DIL held approximately 86.65% of Dangote Cement Plc at FY2025 year-end, with Aliko Dangote as ultimate controlling party. This concentrated ownership structure is a relevant credit consideration and is discussed further in Section 4.

This assessment is prepared on a Group (consolidated) basis for FY2022–FY2025, reflecting the basis on which the borrowing entity's consolidated obligations and cash-generating capacity are best evaluated for an enterprise-level lending exposure.

3. Business & Industry Risk

The Group's business risk profile reflects a combination of structural strengths and sector-specific exposures common to a capital-intensive, energy-dependent manufacturing business operating in a volatile macroeconomic environment.

Strengths

- Large operating scale and established market leadership in Nigerian and regional cement markets.
- Significant installed production capacity, supporting economies of scale and import substitution.
- Geographic diversification across Nigeria and other African markets, reducing single-market concentration.
- Structural demand support from underlying African infrastructure and construction activity.

Risks

- Energy and input cost volatility (fuel, power, alternative-fuel transition costs).
- Domestic inflation and its pass-through to production and logistics costs.
- Foreign-exchange volatility affecting imported inputs, USD-denominated debt service, and translation of foreign operations.
- Interest-rate exposure on floating-rate borrowings.
- Competitive pressure from other regional producers.
- Regulatory, environmental and government pricing-related pressures in core markets.
- Broader macroeconomic and political conditions across the Group's countries of operation.

Credit Relevance

Each of these risks transmits into the credit assessment through a common channel: cost pressure and volume/pricing volatility affect margins; margin volatility affects operating cash generation; and cash-generation volatility ultimately affects debt-service capacity and refinancing flexibility. The Group's demonstrated ability to grow revenue and, in FY2025, to expand margins despite these pressures is a supporting credit factor, but the underlying exposures remain structural and require ongoing monitoring rather than being treated as resolved.

4. Management, Ownership & Governance

Dangote Industries Limited held approximately 86.65% of Dangote Cement Plc at FY2025 year-end, with Aliko Dangote as the ultimate controlling party. Formal board-level governance structures are in place, including committees with oversight responsibility for finance, audit, risk and related matters, supported by independent non-executive board representation.

From a creditor perspective, concentrated ownership carries two-sided implications. On one hand, it provides a stable, strategically committed shareholder base with a demonstrated pattern of intercompany financial support (including parent guarantees over subsidiary borrowings, discussed in Section 11). On the other hand, it creates dependency risk: the Group's cash flows, funding arrangements and, on occasion, its investing/financing cash flows (see Section 7) are materially influenced by related-party transactions and intercompany balances that a minority creditor cannot independently control or fully verify from public disclosure.

This assessment does not speculate on the character, competence or intentions of individual directors or executives. The governance discussion here is limited to documented ownership structure, board oversight arrangements, and their credit implications.

Credit Watch Items

- Concentration of ownership and control in a single shareholder group.
- Extent and nature of related-party transactions and intercompany balances.
- Continued reliance on, or provision of, intercompany guarantees.

- Non-recurring related-party cash flows that should not be relied upon as recurring liquidity support (see Section 7).

5. Financial Performance

The Group has delivered consistent top-line growth across the assessment period, with a marked acceleration in FY2024 and FY2025.

Metric (₦bn)	FY2022	FY2023	FY2024	FY2025
Revenue	1,618.3	2,208.1	3,580.6	4,306.7
Operating Profit	585.9	734.3	1,152.0	1,765.3

Revenue has more than doubled over the assessment period, supported by both volume growth and price adjustments made in response to input-cost inflation. Operating profit growth has outpaced revenue growth in FY2025 specifically, indicating an improvement in underlying operating efficiency rather than revenue growth alone.

For a lender, sustained revenue growth is a necessary but not sufficient condition for credit strength — it must translate into cash generation and debt-service capacity, which are examined in Sections 6, 7 and 13. The consistency of the growth trend across four fiscal years, spanning a period of significant currency depreciation and cost inflation, is itself a positive indicator of pricing power and operational resilience.

6. Profitability & Earnings Quality

Metric (₦bn)	FY2022	FY2023	FY2024	FY2025
EBITDA	708.2	886.1	1,382.0	1,981.3

EBITDA grew in absolute terms throughout the period. However, EBITDA margin compressed from an initial level of approximately 43.8% in FY2022 through FY2023 and FY2024, before recovering strongly to approximately 46% in FY2025. The intervening compression reflects the cost and financing pressures discussed in Section 3, while the FY2025 recovery reflects both operating leverage on higher volumes and more effective cost/pricing management.

Credit implication: the FY2025 margin recovery is a genuine positive signal, but the FY2022–FY2024 compression demonstrates that margins are sensitive to the cost and macro pressures identified in Section 3. A lender should not assume the FY2025 margin level is a permanent structural improvement without monitoring subsequent periods.

Earnings quality is also assessed with reference to cash conversion (Section 7). The Group's FY2025 operating cash flow of ₦1,710.8bn exceeds reported EBITDA, which is a supportive indicator that reported profitability is being substantively converted into cash rather than remaining as an accounting figure.

7. Cash Flow & Debt-Service Capacity

The primary lens for assessing repayment capacity is the composition and trend of the Group's cash flow, distinguished explicitly by operating, investing and financing activity.

Operating Cash Flow

Metric (₦bn)	FY2022	FY2023	FY2024	FY2025
Operating Cash Flow	387.8	678.8	821.1	1,710.8

Operating cash flow more than doubled between FY2024 and FY2025, substantially outpacing the growth in EBITDA over the same period. This is the Group's core, recurring source of debt-service capacity.

Interest Coverage

Metric	FY2022	FY2023	FY2024	FY2025
Interest Coverage (Operating Profit / Interest Expense)	Not presented — see note	2.36x	1.65x	5.10x

FY2022 interest coverage is deliberately not presented: finance costs for that year were not sufficiently segmented into a validated interest-expense figure comparable to the FY2023–FY2025 basis, and no figure has been constructed to fill that gap.

Credit implication: the FY2024 dip to 1.65x indicates a period in which operating profit provided comparatively thin headroom over interest obligations — a level that would typically warrant heightened monitoring in isolation. The recovery to 5.10x in FY2025 substantially improves the debt-service buffer and is a key factor supporting the current positive credit view, provided it proves durable rather than a single-year outcome of the FY2025 deleveraging described below.

Cash Flow Allocation — FY2025

Cash Flow Item (₦bn)	FY2025
Operating cash flow	1,710.8
Capital expenditure	~861.1
Cash after capex	~849.7
Dividends paid	~502.9

After funding capital expenditure, the Group retained a substantial cash surplus in FY2025, ahead of financing outflows (debt repayment, interest, dividends). This surplus is the clearest single indicator of organic debt-service capacity.

2025 Debt Reduction — Financing Activity

Item (₦bn)	FY2025
Gross loans repaid	~2,269.0
Loans obtained	~1,097.8
Net loans repaid	~1,170.7

Critical Caveat — Related-Party Repayment

A related-party repayment of approximately ₦1.037tn contributed to 2025 cash flows. This inflow is non-operating/investing in nature and must not be characterised, relied upon, or projected as recurring core operating cash generation or recurring operating repayment capacity.

This distinction is material to the credit assessment. While the Group's FY2025 operating cash flow of ₦1,710.8bn is itself strong and stands independently of this related-party movement, the overall scale of debt reduction

achieved in FY2025 (gross borrowings down from ₦2,512bn to ₦1,080bn) was assisted by this non-recurring related-party cash inflow. A lender should base its ongoing view of debt-service capacity on core operating cash flow and should not assume similar related-party support will recur in future periods.

8. Capital Structure & Leverage

Metric	FY2022	FY2023	FY2024	FY2025
Total Borrowings (₦bn)	~707	~968	~2,512	~1,080.5
Debt/EBITDA	~1.00x	~1.09x	~1.82x	0.55x

Gross borrowings increased substantially between FY2023 and FY2024 — from approximately ₦968bn to ₦2,512bn — pushing Debt/EBITDA from approximately 1.09x to 1.82x. This build-up coincided with the period of margin compression and weaker interest coverage described in Sections 6 and 7, and represents the point of maximum leverage risk within the assessment period.

Credit implication: the FY2023→FY2024 debt build-up should be understood as a period requiring close scrutiny in its own right, independent of the subsequent recovery. The FY2024→FY2025 reduction to ₦1,080.5bn and a Debt/EBITDA of 0.55x represents substantial deleveraging, but a lender should assess the durability of this position — including the extent to which it was assisted by the non-recurring related-party repayment noted in Section 7 — rather than treating 0.55x as a new steady-state level without further observation.

Net debt at FY2025 was approximately ₦682.9bn, with a Net Debt/EBITDA ratio of approximately 0.34x, reflecting the Group's cash balance as a partial offset to gross borrowings.

Debt Structure — FY2025

Category	Amount (₦bn)	% of Note 26 Gross Borrowings
Total Borrowings (Note 26)	1,080.5	100%
Unsecured Borrowings	899.9	83.3%
Secured Borrowings	180.6	16.7%

Lease liabilities are presented separately in the Group's financial statements and are not included in the Note 26 gross-borrowings percentage split above.

The predominance of unsecured borrowing (83.3%) means the Group's existing lenders rely primarily on the Group's cash-generating capacity rather than collateral. This is discussed further in Section 14.

9. Liquidity & Working Capital

Metric (₦bn unless stated)	FY2025
Current Assets	1,972.0
Current Liabilities	2,603.7
Current Ratio	0.76x
Cash & Equivalents	397.6
Short-Term Debt	~799.8

Credit implication: a current ratio below 1.0x indicates that current liabilities exceed current assets on a point-in-time basis. This should be flagged as a monitoring item rather than treated automatically as evidence of financial distress — large, capital-intensive corporates commonly operate with sub-1x current ratios where a substantial portion of current liabilities represents short-term or revolving debt that is expected to be refinanced or serviced from strong, recurring operating cash flow, as is the case here (FY2025 operating cash flow of ₦1,710.8bn substantially exceeds the current-liability shortfall). The key monitoring question is not the ratio in isolation but the Group's continued ability to refinance or service the short-term debt component (~₦799.8bn) as it falls due.

Working capital also reflects the scale of the underlying business: FY2025 inventory, trade receivables and trade/other payables are all substantial in absolute terms, consistent with a large manufacturing and distribution operation. Working capital movements should be monitored for divergence from historical patterns, as unexpected working-capital consumption can absorb cash otherwise available for debt service.

10. FX & Interest-Rate Risk

Metric (₦bn)	FY2022	FY2023	FY2024	FY2025
USD-Denominated Liabilities	434.9	511.3	1,954.7	516.1

USD-denominated liabilities peaked sharply in FY2024 before falling back to a level broadly consistent with FY2022–FY2023 in FY2025. This pattern aligns with the FY2023→FY2024 debt build-up and FY2024→FY2025 deleveraging discussed in Section 8, and indicates that the increase in FX exposure was closely tied to the same borrowing cycle rather than a separate, independent risk build-up.

Credit implication: continued exposure to USD-denominated debt leaves the Group sensitive to further Naira depreciation, which would increase both the Naira cost of debt service and the translated value of the liability itself. A portion of the Group's borrowings also carry floating interest rates referenced to international benchmarks, adding interest-rate sensitivity on top of currency risk. The FY2025 reduction in USD exposure is a positive development, but residual exposure remains material and should be tracked alongside the Group's foreign-currency revenue generation (from Pan-African operations) as a partial natural hedge.

The Group's equity also reflects a substantial, and historically volatile, currency translation reserve arising from consolidating foreign-currency-denominated subsidiaries. While this is a non-cash, equity-level effect rather than a direct liquidity risk, large swings in this reserve are indicative of the scale of currency movements the Group is exposed to through its Pan-African operations and are relevant context for assessing balance-sheet resilience.

11. Contingent Liabilities & Related-Party Exposure

Metric (₦bn)	FY2022	FY2023	FY2024	FY2025
Group Contingent Liabilities	133.5	164.2	308.2	457.4

Group contingent liabilities — comprising pending litigation and other claims — have risen materially and consistently across every year of the assessment period, more than tripling from FY2022 to FY2025. The Company's own disclosure states that management assesses no material loss is expected to arise from these claims; however, this is the borrower's own assessment and should not be treated by the lender as an independently verified conclusion. No separate provision figure, case count, or claim-by-claim breakdown is publicly disclosed.

Credit implication: the consistent upward trend in disclosed contingent liabilities — irrespective of management's assessment of ultimate outcome — represents a growing quantum of off-balance-sheet exposure that could crystallise as a cash outflow. This should be tracked as a standing monitoring item.

Related-Party Guarantees

Metric (₦bn)	2021	2022	2023	2024	2025
DIL Guarantees over Subsidiary Loans	87.0	125.3	258.1	369.1	328.9

Dangote Industries Limited has guaranteed a growing quantum of subsidiary borrowings over the assessment period, with a modest reduction in FY2025. While parent guarantees can represent a source of implicit support, they also evidence the extent of intercompany financial interdependency within the wider Dangote group — a dependency that a lender to Dangote Cement Plc specifically should factor into its assessment of standalone versus group-supported repayment capacity.

Combined with the related-party cash-flow caveat in Section 7, this section reinforces a consistent theme: the Group's credit profile cannot be fully separated from its relationship with the wider Dangote Industries Limited group, and related-party dependency should be treated as a standing risk factor rather than a one-off observation.

12. Stress Testing

Illustrative downside scenarios were applied to the FY2025 base case to test the sensitivity of the credit position. These are illustrative sensitivities only and are not forecasts or probability-weighted projections.

Scenario	Illustrative Outcome
Revenue -10%	Revenue ~₦3,876bn
EBITDA margin compressed to ~41%	EBITDA ~₦1,766bn (at unchanged revenue)
Combined: Revenue -10% and 41% EBITDA margin	EBITDA ~₦1,589bn; Debt/EBITDA ~0.68x (debt held at ₦1,080.5bn)
Interest expense doubled (~₦692bn)	Operating profit / interest ~2.55x
Operating cash flow -30%	OCF ~₦1,198bn; OCF less capex ~₦337bn before interest, dividends and other financing requirements

Conclusion: the Group demonstrates resilience to each of these stresses applied individually — leverage and coverage metrics remain within a manageable range even under a doubled interest-expense scenario or a combined revenue/margin shock. However, the OCF-less-capex outcome under the combined operating stress (~₦337bn) illustrates that cash headroom compresses materially faster than EBITDA-based metrics suggest once capital expenditure, interest, dividends and financing obligations are layered on top of a cash-flow shock. The key residual risk is not any single stress in isolation, but the simultaneous occurrence of operating cash-flow deterioration, higher financing costs, FX depreciation and tightening liquidity — a combination that would compress debt-service headroom well beyond what any individual scenario indicates.

13. Repayment Capacity

The primary source of repayment for any exposure to Dangote Cement Plc is operating cash flow generated by the core cement business. FY2025 operating cash flow of ₦1,710.8bn, against total borrowings of ₦1,080.5bn and an interest coverage ratio of 5.10x, indicates strong debt-service capacity on a current-year basis.

Secondary sources of repayment — available liquidity, refinancing capacity, asset realisation, and guarantees where applicable — exist but should not be treated as equivalent or interchangeable with recurring operating cash flow. In particular, the related-party repayment discussed in Section 7 illustrates that not all cash inflows observed in a given year originate from core, repeatable business operations.

Preliminary conclusion: STRONG REPAYMENT CAPACITY, SUBJECT TO SUSTAINABILITY TESTING. The FY2025 position is strong, but its durability depends on the Group sustaining FY2025-level margins and cash conversion without reliance on non-recurring related-party support, and on the FX, liquidity and contingent-liability risks identified in this paper remaining contained.

14. Security & Recovery Considerations

The Group's primary form of credit protection available to lenders is repayment capacity — demonstrated operating cash generation — rather than collateral coverage. As set out in Section 8, approximately 83.3% of FY2025 Note 26 gross borrowings are unsecured, with only 16.7% secured. Publicly available information does not permit individual collateral or security assets to be identified or valued, and no such assumption should be made.

In the event that recovery through security or asset realisation were ever required, several factors would need to be independently established through facility-specific due diligence and cannot be assumed favourably at this stage:

- Legal ownership of any proposed or existing collateral asset.
- Existing encumbrances or prior-ranking claims over that asset.
- Independent, current valuation of the asset.
- Likely forced-sale value, which may differ materially from accounting book value.
- Legal enforceability and perfection of any security interest in the relevant jurisdiction(s).
- Priority and ranking relative to other creditors, including existing secured lenders.
- Costs and time associated with enforcement and recovery.

No collateral value or security coverage ratio has been assumed or calculated in this paper. The Group's total assets should not be treated as automatically available to a hypothetical lender — asset availability, encumbrance status and priority must be established on a facility-specific basis.

15. Proposed Lending Structure

No specific facility request, amount, tenor or pricing has been provided as part of this assessment. Accordingly, this section sets out structuring principles only; no facility size, tenor, amortisation schedule, pricing, covenant threshold or security value has been invented or assumed.

Any facility extended to the Group should be structured with reference to the following principles:

- Purpose-specific: the facility purpose should be clearly defined and aligned to a demonstrable business need.
- Sized to demonstrated repayment capacity, informed by the operating cash flow and coverage evidence in Sections 7 and 13, and not merely by headline leverage ratios.
- Tenor matched to the cash-flow characteristics of the facility purpose and the Group's demonstrated cash-generation profile.

- Repayment profile aligned with expected operating cash generation, rather than reliant on refinancing or non-recurring inflows.
- Currency matched to underlying cash flows where practicable, to limit incremental FX exposure beyond what is already reflected in Section 10.
- Risk-based pricing that reflects the borrower's risk profile as assessed in this paper.
- Appropriate security or structural protection, calibrated to facility type and the considerations set out in Section 14.
- Defined conditions precedent appropriate to the facility purpose and structure.
- Financial and information covenants appropriate to the risk profile (see Section 16).
- Ongoing monitoring aligned to the framework in Section 17.

16. Covenants / Conditions Precedent

No actual facility structure, internal risk appetite parameters, or private covenant terms have been made available for this assessment. Numeric covenant thresholds have therefore not been invented and would be determined during facility-specific structuring and credit approval, informed by the trends and risk factors identified in this paper.

Covenant categories and conditions typically relevant to an exposure of this nature include:

- Leverage covenants (e.g., referencing Debt/EBITDA or Net Debt/EBITDA).
- Debt-service covenants (e.g., referencing interest or debt-service coverage).
- Liquidity covenants (e.g., minimum cash or current-ratio requirements).
- Restrictions on additional indebtedness.
- Security-related covenants (e.g., negative pledge, pari passu ranking).
- Material adverse change provisions.
- Financial and operational reporting requirements.
- Related-party transaction monitoring and/or restriction provisions.
- Restrictions on disposal of material assets.
- Restrictions or notification requirements regarding guarantees extended to or received from related parties.
- Compliance with applicable legal and regulatory requirements in all operating jurisdictions.

Final thresholds, definitions and conditions precedent would be determined through facility-specific structuring, informed by the Group's demonstrated trends and the risk factors identified throughout this paper.

17. Post-Approval Monitoring & Early Warning Triggers

Ongoing monitoring is intended to identify credit deterioration early enough to permit corrective action, ahead of a facility moving into distress. The following monitoring framework, organised by category, should be applied on a periodic basis following any approval:

Earnings

- Revenue
- EBITDA

- EBITDA margin

Cash Flow

- Operating cash flow
- Cash after capex

Leverage

- Debt/EBITDA
- Net Debt/EBITDA

Debt Service

- Interest coverage

Liquidity

- Current ratio
- Cash balance
- Short-term debt and refinancing requirements

Business

- Cement sales volumes
- Pricing environment
- Input and energy costs

Risk Factors

- FX exposure (particularly USD-denominated liabilities)
- Interest-rate exposure on floating-rate debt
- Contingent liabilities
- Related-party exposures and intercompany balances

Monitoring Approach

A traffic-light approach is recommended: Green indicates performance in line with the approved credit view and requires no action; Amber indicates a metric or risk factor moving outside expected range and warrants increased monitoring frequency and management engagement; Red indicates material deterioration requiring escalation, reassessment of the credit view, and consideration of remedial or protective action. Given the trend volatility observed between FY2023 and FY2024 in this assessment, particular attention should be paid to leverage, interest coverage and USD exposure, which moved most sharply within the assessment period.

18. Final Credit Recommendation

LEND — subject to facility-specific due diligence, appropriate structuring, risk appetite/limit approval and ongoing monitoring.

This recommendation is supported by:

- Demonstrated earnings growth and FY2025 profitability recovery.

- Strong FY2025 operating cash generation, materially exceeding EBITDA.
- Substantial FY2025 deleveraging, with Debt/EBITDA reduced to 0.55x.
- Recovered interest coverage of 5.10x.
- Large operating scale and established market position.

However, the recommendation remains conditional — not unconditional — in light of:

- Liquidity and refinancing requirements associated with a sub-1x current ratio and material short-term debt.
- Continued FX exposure, notwithstanding its FY2025 reduction.
- Interest-rate exposure on floating-rate borrowings.
- Working-capital intensity of the underlying business.
- A rising quantum of contingent liabilities.
- Material and ongoing related-party exposures, including guarantees and non-recurring intercompany cash flows.

The final lending decision, facility structure, and covenant package remain the responsibility of the Project Owner and any applicable credit approval authority, informed by the analysis in this paper and any additional facility-specific due diligence.

19. Key Risks & Mitigants

Key Risk	Mitigating / Offsetting Consideration
Liquidity / refinancing requirements (current ratio 0.76x; short-term debt ~₦799.8bn)	Strong FY2025 operating cash flow (₦1,710.8bn) provides substantial coverage relative to the current-liability shortfall; recommend monitoring refinancing execution specifically.
FX exposure (USD liabilities ₦516.1bn)	FY2025 exposure reduced materially from the FY2024 peak (₦1,954.7bn); Pan-African revenue provides a partial natural hedge.
Interest-rate exposure (floating-rate debt)	FY2025 interest coverage of 5.10x provides headroom; stress testing indicates resilience to a doubling of interest expense in isolation.
Working-capital intensity	Funded within strong operating cash generation to date; monitor for divergence from historical patterns.
Contingent liabilities (₦457.4bn, rising trend)	Management assesses no material loss expected, though this is the borrower's own, unverified assessment; monitor trend and any crystallisation.
Related-party exposure and dependency	Demonstrated pattern of parent-group support (guarantees); however, this is also a dependency risk and non-recurring related-party inflows should not be relied upon.
Business/industry risk (input costs, competition, regulation)	Scale, market position and demonstrated pricing power provide some resilience; requires ongoing monitoring of margin trend.

20. Limitations / Public-Data Constraints

This assessment is based primarily on publicly available information — audited annual reports and related disclosures for FY2022–FY2025 — supplemented by a validated internal credit-analysis dataset and dashboard. It does not incorporate private management information, an actual facility request, or facility-specific due diligence.

The following items are not available from public sources and would require facility-specific lender due diligence before any facility is finalised:

- The exact facility request (amount, purpose, tenor).
- A borrower-specific repayment schedule.
- Private management information beyond what is publicly disclosed.
- A detailed security package, including any proposed collateral.
- Independent security valuation.
- Legal enforceability and perfection of any security interest.
- Private covenant terms in the Group's existing facility agreements.
- Detailed banking relationships and existing lender arrangements.
- Complete maturity and refinancing information not publicly disclosed.

These limitations do not invalidate the analysis presented in this paper. They define the boundary between a public-data credit assessment — which this paper represents — and facility-specific underwriting, which would follow in the event of credit approval in principle. This distinction should be preserved in any subsequent internal approval process.

Prepared and maintained by: Chegwe Favour (Project Owner). This paper draws on the validated project evidence base, approved analytical dataset and signed-off credit dashboard for Dangote Cement Plc.